

Finals CES S3

PRECISE STUDY NOTES

Aim for Full Marks

Yellow Highlights • Data tables • Answers in Question Sheets

MODULE 3.1: Economy & World Trade

A. Basic Knowledge of Trade

1. Definition of Trade

Trade = exchange and buying/selling of products and services.

Types of Trade

- **Visible Trade 有形貿易**: trade in physical goods (e.g. electronics, cars)
- **Invisible Trade 無形貿易**: trade in services
- **Export Trade 出口貿易**: selling goods/services TO other countries
- **Import Trade 進口貿易**: buying goods/services FROM other countries
- **Re-export Trade 轉口貿易**: re-selling imported goods (incl. processing); HK famous for this
- Domestic trade 國內貿易 = within a country; **World trade 世界貿易** = between countries

2. Basic Conditions for Trade

Different countries have different **Natural Resources 天然資源** (land, water) and **Artificial Resources 人工資源**

- **Specialised Production 專門生產**: produce at lowest cost → export surplus → import what you lack →

3. Impact of Trade

✓ Advantages

- **Increases production efficiency**: specialisation → better efficiency
- **Increases consumer choices**: access wider variety of goods
- **Increases employment opportunities**: more jobs in advantageous industries
- **Promotes economic development**: trade drives growth, improves product quality

✗ Challenges

- **Labour unemployment crisis 勞工失業危機**: non-advantageous industries lose jobs
- **Displacement of less competitive sectors 較弱行業被取替**: local industries lose to cheaper imports
- **Unfair trade 不公平貿易**: weaker countries have less bargaining power; social instability

Knowledge Check

1. What is the difference between visible trade and invisible trade? Give ONE example each. (Short Q)

2. State TWO advantages of world trade. (Short Q)

3. Explain ONE challenge that trade poses to society. Which group is most affected? (Short Q)

4. Match: Export Trade 出口貿易 / Import Trade 進口貿易 / Re-export Trade 轉口貿易 → Buying from abroad / Selling abroad / Re-selling imports

5. Fill in: Trade involving different countries is called _____ trade.

6. MC: Which is an example of invisible trade? A) Selling cars to Japan B) Buying oil from Saudi Arabia C) Providing banking services to overseas clients D) Re-exporting goods via HK

7. Case Study: Country A produces rice cheaply but lacks technology. Country B has high-tech but little farmland. Explain how specialised production and trade benefits both. (Case Study)

B. External Trade: Mainland & HK

1. Mainland China Present Situation

China's Trade Status 2023 (WTO Data)

- **World's LARGEST merchandise trade exporter**: USD 3,379.04 billion
- **World's 5th largest exporter of business services**: USD ~380 billion
- Major export markets: US 15%, EU 16%, ASEAN 15.5%, HK 8%

2. Mainland China Opportunities

a) Strengthening External Cooperation

- **FTAs**: China signed **22 FTAs** by 2023; 11 under negotiation
- **RCEP (2020)**: 15 countries = **world's largest free trade area** (China, ASEAN×10, Korea, Japan, Australia, NZ)

b) Promoting Opening-up

- **FTZs**: since 2013, areas inside China where goods enter/exit freely without **tariffs**

3. Hong Kong Present Situation

HK Key Trade Statistics

- **Trading & Logistics = 1st of 4 Economic Pillars** (22.5% GDP, 591,200 jobs, 2022)
- **HKIA**: **No. 1 cargo throughput globally** (4.3 million tonnes, 2023)
- HK was the **10th largest container port** in 2023

4. HK Opportunities

Year	Economy	Free Trade Agreement
2003	Mainland China	CEPA (preferential access to Mainland)
2010	New Zealand	HK-NZ Closer Economic Partnership Agreement
2011	EU (EFTA)	Free Trade Agreement with European Free Trade Association
2017	ASEAN	Hong Kong, China – ASEAN Free Trade Agreement
2019	Australia	Hong Kong, China – Australia Free Trade Agreement

- Mainland's share of HK global trade: 9.3% (1978) → **49.2% in 2023 (HKD 4,342.7 billion)**
- **Greater Bay Area 大灣區**: cooperation with Guangdong + Macao

5. Challenges

3 Main Challenges

- **① Global trade slowdown 全球貿易放緩**: COVID-19; China exports -11.4% (Q1 2020); HK trade -2.5% in 2020
- **② Global political instability 政局不穩**: Russia-Ukraine War → wheat/energy prices ↑; geopolitical uncertainty
- **③ Trade protectionism 貿易保護主義**: de-Chinaisation 去中國化; China-US conflicts since 2018

Knowledge Check

1. What % of GDP does trading and logistics contribute to HK? (MC/Fill-in-blank)

2. In what year was CEPA signed? (MC)

3. State TWO challenges to external trade of both the Mainland and HK. (Short Q)

4. Match: RCEP / CEPA / FTZ → 2003 HK-Mainland arrangement / World's largest FTA / Tariff-free zones inside China

5. Fill in: China was the world's _____ merchandise trade exporter in 2023. HKIA ranked _____ globally for cargo throughput.

6. Case Study: Explain ONE opportunity and ONE challenge for HK in world trade using specific figures. (Case Study)

C. Trade Protection Policies

1. 5 Types of Trade Protection

Five Trade Protection Policies

- ① **Export Subsidies** 出口補貼: Cash/concessions to exporters → lower prices → more competitive internationally
- ② **Import Duties** 進口關稅: Tariffs on imported goods → raises import prices → consumers prefer local
- ③ **Import Quota** 進口配額: Quantitative limit on imports → stops flooding of domestic market
- ④ **Import Restrictions** 進口限制: Rules/standards on imports
- ⑤ **Embargo** 禁運: Complete prohibition on importing specific goods (political/safety reasons)

2. Reasons for Trade Protection

- **Protecting local industries** 保護本地工業: cheaper imports → local industries uncompetitive; tariffs help
- **Economic recession response** 應對衰退: revitalise local industries (e.g. 2008 financial crisis: 22 WTO members raised tariffs)
- **Protecting employment** 保護就業: industry failure → job losses
- **Economic sanctions** 經濟制裁: political tool (UN on North Korea 2017; US/EU on Russia 2022)

⚠ HK is a free port 自由港. Duties only on: liquor, tobacco, hydrocarbon oil, methyl alcohol

3. Ways to Deal with Trade Protection

- **Negotiation**: Bilateral 雙邊 (2 countries) or Multilateral 多邊 (3+) via WTO
- **WTO**: only global body for trade rules; promotes trade liberalisation 貿易自由化
- **Establishing good foreign relations**: expand markets, reduce conflicts
- **Expanding domestic demand**: boost local market, reduce over-reliance on trade

WTO Key Fact	Detail
Founded	1995 (replaced GATT 1948)
Members	164 countries (as of 2023)
HQ	Geneva, Switzerland
China joined	2001
China tariff reduction	15.3% → 7.4%
HK in WTO	Founding member as 'Hong Kong, China'

Knowledge Check

1. Define 'embargo' and give ONE reason why a country might impose it. (Short Q)

2. What is the difference between an import duty and an import quota? (Short Q)

3. State THREE types of trade protection policies and briefly explain each. (Short Q)

4. Match: Export Subsidies 出口補貼 / Import Duties 進口關稅 / Embargo 禁運 → Complete ban / Tax on imports / Cash to exporters

5. Fill in: The WTO was established in _____, has _____ member states (2023). China joined in _____.

6. MC: Which is NOT a trade protection policy? A) Import Quota 進口配額 B) Export Subsidy C) Free Trade Agreement D) Embargo 禁運

7. Case Study: India banned Chinese toy imports in Jan 2009. (a) Identify the policy type. (b) State ONE reason. (c) How could China respond? (Case Study)

D. Trade Conflicts & Economic Security

1. Impacts of Trade Conflicts

4 Potential Impacts

- ① Reducing imports & exports: trade volume drops; transport & logistics industry affected
- ② Reducing product competitiveness: higher tariffs → higher production costs; enterprises relocate
- ③ Increasing investment risks: undermines investor confidence 投資者信心; stock market declines

2. Safeguarding Economic Security

Economic security 經濟安全: country can eliminate/resolve risks, resist external shocks, ensure healthy economic development

- 'Development and Security must go hand in hand'
- Ensuring multilateral cooperation: promote trade liberalisation 貿易自由化; support WTO system
- Increasing economic strength: diversify industries; adjust structure; strengthen resilience

Knowledge Check

1. State TWO impacts of trade conflicts on China's economy. Give specific examples. (Short Q)

2. Explain what 'economic security' means. (Short Q)

3. MC: Which is an impact of trade conflicts? A) More exports B) Lower consumer prices C) Higher investor confidence 投資者信心 D) Lower stock market

4. Fill in: Trade conflicts lead to significant drop in trade volume, affecting the _____ industry. Undermining investor confidence 投資者信心 leads to _____ market decline.

5. State TWO ways China can safeguard economic security. (Long Q)

MODULE 3.2: Our Country's Political Structure & International Affairs

A. Understanding China's Political Structure

The Constitution 宪法

Constitution 宪法: Fundamental Law

- Has the **HIGHEST legal effect** all laws must comply with it
- Stipulates: basic policy, systems, political structure
- Stipulates: duties of state institutions
- Stipulates: rights and obligations of citizens
- Stipulates: national symbols
- Central state institutions defined in **Chapter III** of the Constitution 宪法

1. 7 Central State Institutions

Institution	Status	Formation	Key Powers
NPC	HIGHEST state organ of power	Democratic elections → deputies from provinces, SARs, armed forces	Legislate, supervise, appoint, decide major issues
President	Head of state	Elected by NPC; PRC citizen, 45+	Promulgate laws, manage foreign affairs, appoint Premier, declare war/emergency
State Council 國務院	HIGHEST admin. organ	Created by NPC; Premier nominated by President, elected by NPC	Admin regulations, implement economic plans, manage education/health/foreign affairs
CMC	HIGHEST military leadership	Created by NPC; same 5-year term	Unified command of armed forces, decide military strategy
NCS	HIGHEST supervisory organ	Created by NPC; responsible to NPC+NPCSC	Anti-corruption, investigate embezzlement, bribery, abuse of power
Supreme People's Court 最高人民法院	HIGHEST adjudicatory organ	Created by NPC; President has 5-year term	Adjudicate all cases, judicial interpretations; trials public; right to defence
Supreme People's Procuratorate 最高人民檢察院	HIGHEST procuratorial organ	Created by NPC; Procurator General has 5-year term	Investigate crimes, approve arrests, file public prosecutions, legal supervision

2. NPC Deep Dive

NPC Key Details

- Status: **All 6 other institutions created by, accountable to, supervised by NPC**
- Permanent organ: **NPCSC** acts when NPC is not in session
- Term: **5 years**; Sessions: **once per year** (may convene additionally)
- Formation: deputies from provinces, autonomous regions, cities under central jurisdiction, SARs, armed forces
- Voter eligibility: PRC citizen, **aged 18+**, not deprived of political rights, registered as voter

NPC 4 Main Powers

- ① **Legislative power**: amend Constitution 憲法; enact/amend criminal, civil, basic laws
- ② **Supervisory power**: oversee enforcement of Constitution 憲法
- ③ **Power to decide on major issues**: approve national economic plan, state budget, war/peace decisions
- ④ **Appointment & removal power**: elect President/VP; approve Premier; elect CMC Chair; elect NCS Chair; elect Supreme Court President

3. Other Institutions Key Points

President

- Status: **Head of state**; eligibility: PRC citizen, **aged 45+**, right to vote/stand
- Powers: **promulgate laws**; appoint/remove Premier & ministers; **manage foreign affairs**; ratify treaties; declare war
- Current: **Xi Jinping** (first elected 2013; also CPC General Secretary since 2012)

State Council 國務院

- **Premier responsibility system**: Premier directs work, convenes executive meetings
- Key powers: administrative regulations; implement economic plans; manage education, health, foreign affairs

CMC, NCS, Supreme Courts

- **CMC**: commands PLA + Armed Police + Militia; decides military strategies
- **NCS**: **anti-corruption**; investigates embezzlement, bribery, abuse of power, neglect of duty
- **Supreme People's Court 最高人民法院**: adjudicates cases; all trials **public**; accused has **right to defence**
- **Supreme People's Procuratorate 最高人民檢察院**: investigates crimes; approves arrests; files public prosecutions

Knowledge Check

1. What is the status of the NPC? (MC/Short Q)

2. Name ALL 7 central state institutions and state the status of each. (Short Q)

3. State FOUR powers of the NPC. Give a brief example for ONE power. (Long Q)

4. Match: Supreme People's Court 最高人民法院 / NCS / State Council 國務院 / CMC → Anti-corruption / Admin organ / Adjudicatory / Military

5. Fill in: NPC term = _____ years. Sessions = _____ per year. NPCSC is the _____ organ of the NPC.

6. What are the eligibility requirements to be President of the PRC? (Short Q)

7. Explain the relationship between the NPC and the NPCSC. (Long Q)

8. Case Study: In 2018 NPC amended the Constitution 憲法. In 2023 NPCSC appointed a new Defence Minister. For each, state which institution acted and which power was used. (Case Study)

B. Communist Party of China & Multiparty System

1. Leadership Role of the CPC

CPC = SUPREME leadership of PRC. Constitution 憲法: 'Leadership by the CPC is the defining feature of socialism with Chinese characteristics'

CPC Structure

- Highest organs: CPC National Congress + Central Committee it elects
- CPC National Congress held every 5 years; General Secretary: Xi Jinping (since 2012)
- 20th CPC Central Committee: 205 members + 171 alternate members; 24 Political Bureau members
- CPC membership (2022): 98.041 million members
- Decision process: CPC proposes policy → NPCSC/State Council 國務院 recommends → NPC votes → government implements

2. Multiparty Cooperation System

Fundamental political system of PRC: multiparty cooperation and political consultation under CPC leadership

Key Features

- CPC = only governing party 執政黨; 8 others: participating parties 參政黨
- Cooperation principle: 'Long-term coexistence, mutual oversight, sincerity, sharing rough and smooth'

The 8 Participating Parties	Founded
China Zhi Gong Party	1925
Chinese Peasants & Workers Democratic Party	1930
China Democratic League	1941
China National Democratic Construction Association	1945
China Association for Promoting Democracy	1945
Jiusan Society	1946
Taiwan Democratic Self-Government League	1947
Revolutionary Committee of the Chinese Kuomintang	1948

3. CPPCC

CPPCC = organisational form of political consultation

- Organisation of the patriotic united front; term: 5 years; annual plenary sessions

CPPCC 3 Main Functions

- ① Political consultation 政治協商: consult on basic policies BEFORE decisions are made
- ② Democratic supervision 民主監督: supervise implementation of Constitution 憲法, laws, policies through suggestions/criticisms
- ③ Participation in state affairs 參政議政: submit opinions via study reports, proposals, recommendations

Knowledge Check

1. What is the role of the CPC in China's political system? (MC/Short Q)

2. What is the difference between the CPC and the 8 participating parties 參政黨? (Short Q)

3. State THREE functions of the CPPCC. (Short Q)

4. Match: CPC / CPPCC / NPC / Participating parties → Highest state organ / Political consultation 政治協商 body / Only governing party 執政黨 / 8 other parties

5. Fill in: Cooperation principle: '_____ coexistence, mutual _____, sincerity, sharing rough and smooth.'

6. MC: Other 8 parties in China are best described as: A) Opposition parties B) Participating parties
C) Banned parties D) Governing parties

7. How does the multiparty cooperation system promote China's development? Give ONE example.
(Long Q)

C. Main Principles of China's Foreign Policy

1. Five Principles of Peaceful Coexistence 和平共處五項原則

Proposed by Premier **Zhou Enlai** in 1953. Now fundamental principles of international law.

Five Principles

- ① Mutual respect for sovereignty & territorial integrity
- ② Mutual non-aggression
- ③ Non-interference in each other's internal affairs
- ④ Equality and mutual benefit
- ⑤ Peaceful coexistence
- Role: advocates equal sovereignty; opposes any monopoly of international affairs

Era	Key Principle	Content
1953	Five Principles	Protect sovereignty of newly independent nations; proposed by Zhou Enlai
1984 Reform era	Peace and Development	Need stable environment for modernisation; deepen opening-up
21st Century	Community with Shared Future 人類命運共同體	Major-country & multifaceted diplomacy 全方位外交; mutual benefit for humankind

Knowledge Check

1. Name all FIVE principles of Peaceful Coexistence. (Short Q)

2. Who proposed the Five Principles, and in what year? (MC/Short Q)

3. Fill in: China's 21st century foreign policy strategy is _____ diplomacy and _____ diplomacy.

4. Match each principle to its meaning: Non-interference / Mutual benefit / Peaceful coexistence

5. Explain why China's foreign policy evolved from the Five Principles to 'community with shared future'. (Long Q)

D. Belt and Road Initiative 一帶一路 (BRI)

1. Framework & Background

BRI Quick Facts

- Proposed by: **President Xi Jinping** in 2013 (Kazakhstan + Indonesia visits)
- Full name: **Silk Road Economic Belt 絲綢之路經濟帶** + **21st Century Maritime Silk Road 21世紀海上絲綢之路**
- Spans: **Asia, Europe, Africa**; connects East Asian & European economic circles
- Scale: 66 countries, **~4.4 billion people**, **~USD 21 trillion** total economic value
- Framework: **6 Corridors, 6 Routes, Multiple Countries & Ports**
- As of Aug 2023: **152 countries + 32 international organisations** signed cooperation agreements

2. Routes

Silk Road Economic Belt 絲綢之路經濟帶 (Land)

- ① China → Central Asia → Russia → Europe
- ② China → Central Asia → West Asia → Persian Gulf + Mediterranean
- ③ China → Southeast Asia → South Asia → Indian Ocean

21st Century Maritime Silk Road 21世紀海上絲綢之路 (Sea) 21

- ① China's coastal ports → South China Sea → Indian Ocean → Europe
- ② China → South China Sea → South Pacific

3. Five Key Focuses

Key Focus	What it means / Examples
① Policy Coordination 政策溝通	Work out regional cooperation plans; solve issues; policy support for large projects
② Facilities Connectivity 設施聯通	Railways, highways, ports, airports; e.g. Jakarta-Bandung HSR (2023)
③ Unimpeded Trade 貿易暢通	Remove investment/trade barriers; build FTZs with BRI countries
④ Financial Integration 資金融通	Monetary policy coordination; deepen financial cooperation; reduce financial risk
⑤ People-to-people Bonds 民心相通	Cultural exchange, education, tourism; scholarships; academic research

4. Opportunities

a) Strengthening Foreign Relations

- **152 countries + 32 organisations** signed; BRI incorporated into UN Security Council resolutions, G20, SCO
- Third Belt and Road Forum (Oct 2023): 150+ countries; theme: 'High-quality BRI Cooperation'

b) Strengthening National Security

- **Resource Security 資源安全**: oil via Strait of Malacca + Hormuz can be blocked
- BRI builds **overland pipelines**: China-Russia, China-Central Asia, China-Myanmar → bypasses sea chokepoints
- **Gulf of Aden escort missions** since Dec 2008: **45 batches**, **35,000+ personnel**, **7,200+ vessels**

c) Promoting Cultural Exchange

- MOU on mutual recognition of higher education qualifications with 45 countries/regions
- 'Silk Road' Chinese Government Scholarship; HK Belt and Road Scholarship (since 2016/17)
- Belt and Road News Network: 109 countries, 238 media outlets (2023)

d) Promoting Economic Development

5. Challenges

BRI Challenges

- Italy withdrew Dec 2023: only G7 member; no significant benefits; trade deficit >€40bn; US/NATO pressure
- Developing countries' debt trap 債務陷阱: BRI loans → increasing debt → struggle to repay; requests debt restructuring
- Stricter Chinese investment controls: projects cancelled (e.g. Cambodia airports 2021/2022)
- China-US trade conflicts speed up industry relocation; COVID-19 disrupted BRI progress

6. HK & BRI

- Belt and Road Scholarship: since 2016/17; 10 awardees (2016/17) → 99 awardees (2021/22)
- HK's financial & professional services: investment, law, accounting, insurance in BRI projects
- BUD Fund: helps HK SMEs expand Mainland/overseas markets via BRI

Knowledge Check

1. When and by whom was the BRI proposed? (MC/Short Q)

2. What does BRI stand for? Name its two components. (Short Q)

3. Name ALL FIVE key focuses (Five Connectivities) of BRI. (Short Q)

4. Match: Facilities Connectivity 設施聯通 / People-to-people Bonds 民心相通 / Unimpeded Trade 貿易暢通 → Removing barriers / Cultural exchanges / Building railways & ports

5. Fill in: As of Aug 2023, _____ countries and _____ organisations signed BRI agreements. China-Europe Railway has run _____ trains.

6. How does BRI strengthen resource security? Explain with reference to specific pipelines. (Long Q)

7. State TWO opportunities and ONE challenge brought by BRI to China. (Short Q)

8. Case Study: Italy withdrew from BRI in Dec 2023. (a) State TWO reasons. (b) How could China respond? (Case Study)

9. How does HK participate in BRI? State TWO specific ways. (Long Q)
